

Submission ACCT1-MID-SUB06

Question ACCT1-MID-Q01

notation changes halfway:

1. Dr Cash 737; Cr Service Revenue 737
2. Dr Supplies 216; Cr Accounts Payable 216
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 737/Cr Revenue 737; Dr Supplies 216/Cr A/P 216; A=L+E remains balanced (please interpret)

Question ACCT1-MID-Q02

notation changes halfway:

1. Monthly revenue $\approx 1108/12 \approx 92$
2. Dr Unearned Revenue 92; Cr Service Revenue 92
3. Remaining liability ≈ 1016

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 92; Cr Revenue 92; liability=1016 (please interpret)

Question ACCT1-MID-Q03

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity
2. Equity $\approx 2545 - 401 \approx 2144$
3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$2144; assets=liabilities+equity (please interpret)

Question ACCT1-MID-Q04

notation changes halfway:

1. Current ratio $\approx 1018/931 \approx 1.09$
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.

marks, subscripts, and units are mixed up

result written as: current ratio=1.09; assets exceed liabilities if ratio>1 (please interpret)

Question ACCT1-MID-Q05

notation changes halfway:

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.

marks, subscripts, and units are mixed up

result written as: record unearned revenue first; recognize revenue as performance occurs (please interpret)

Question ACCT1-MID-Q06

notation changes halfway:

1. Dr Cash 364; Cr Service Revenue 364

2. Dr Supplies 550; Cr Accounts Payable 550

3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.

marks, subscripts, and units are mixed up

result written as: Dr Cash 364/Cr Revenue 364; Dr Supplies 550/Cr A/P 550; A=L+E remains balanced (please interpret)

Question ACCT1-MID-Q07

notation changes halfway:

1. Monthly revenue $\approx 1266/6 \approx 211$

2. Dr Unearned Revenue 211; Cr Service Revenue 211

3. Remaining liability ≈ 1055

marks, subscripts, and units are mixed up

result written as: Dr Unearned Revenue 211; Cr Revenue 211; liability=1055 (please interpret)

Question ACCT1-MID-Q08

notation changes halfway:

1. Assets $\approx$ Liabilities + Equity

2. Equity $\approx 1699-464 \approx 1235$

3. The equation must balance after every recorded transaction.

marks, subscripts, and units are mixed up

result written as: equity=\$1235; assets=liabilities+equity (please interpret)